

Member ID: _____

Time: _____

Rank: _____



BANKING AND FINANCE

(145)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (10 @ 2 points each) _____ (20 points)

Job 1: Net Worth Statement (19 @ 2 points each) _____ (38 points)

Job 2: Finance Charges (12 @ 2 points each) _____ (24 points)

TOTAL POINTS _____ ***(132 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You will have 60 minutes to complete your work.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice: Identify the letter of the choice that *best* completes the statement or answers the question.

1. What does the CAMELS model measure?
 - a. A person's creditworthiness
 - b. A business' creditworthiness
 - c. A bank's overall financial condition
 - d. Market risk
2. What measures a stockholder's yield for each dollar of assets?
 - a. Net profit
 - b. Capital ratio
 - c. Return on equity
 - d. Stockholder's equity
3. What are the primary assets of a bank?
 - a. Loans and securities
 - b. Cash in the vault
 - c. Savings accounts
 - d. Checking accounts
4. What is the title for someone who reviews and approves or denies loan applications?
 - a. Loan officer
 - b. Underwriter
 - c. Credit analyst
 - d. Mortgage banker
5. Who is the authority for decision making in a bank?
 - a. Bank president
 - b. Loan officer
 - c. CEO
 - d. Board of directors
6. The 5 C's of credit are character, creditworthiness, capital, collateral and _____.
 - a. checks and balances
 - b. commercial
 - c. capacity
 - d. credit unions
7. A third party check uses the wording _____.
 - a. Pay to the order of
 - b. For deposit only
 - c. Pay to the deposit of
 - d. None of these are correct

8. FICO stands for _____.
 - a. Fair International Credit Organization
 - b. Fair Isaac Corporation
 - c. Fair International Corporation
 - d. Fair Isaac Credit Organization
9. A defined benefit plan is also known as a _____.
 - a. 401(k)
 - b. Roth IRA
 - c. pension
 - d. traditional IRA
10. The Credit Card Act of 2009, _____.
 - a. prevents redlining
 - b. makes it illegal to use gender when determining someone's creditworthiness
 - c. limits the ability of those younger than 21 to receive credit cards
 - d. protects consumers against late fees
11. The rate that banks pay to borrow money from a Federal Reserve Bank is called the _____.
 - a. prime rate
 - b. discount rate
 - c. annual percentage rate
 - d. nominal rate
12. The Federal Reserve System is _____.
 - a. decentralized
 - b. centralized
 - c. no longer part of the U.S. banking system
 - d. comprised of 16 regional banks
13. The idea that a new bank deposit increases the money supply by more than the original deposit is called the _____.
 - a. fractional reserve system
 - b. rule of 72
 - c. excess reserve multiplier
 - d. money multiplier effect

14. The measure of the M1 money supply is comprised of _____.
a. currency, checking account funds and saving account funds
b. checking account funds and savings account funds
c. only checking account funds
d. currency and checking account funds
15. Which one of these is not a property of money?
a. Durable
b. Portable
c. Transferable
d. Divisible
16. A mortgage term is _____.
a. the agreed upon rate of interest charged on the loan
b. the monthly mortgage payment
c. the number of years the loan will exist
d. none of these are correct
17. Equity can be described as _____.
a. the difference between the real estate value and the amount owed for the real estate
b. the amount of total liability owed
c. the interest paid on a mortgage
d. none of these are correct
18. What is the most heavily weighted component of a credit score?
a. Length of credit history
b. Payment history
c. Types of credit used
d. New credit accounts
19. The most common method for calculating credit card finance charges is _____.
a. Average Daily Balance Method
b. Previous Balance Method
c. Adjusted Balance Method
d. Nominal Balance Method
20. Failure to meet the terms of a loan agreement is called _____.
a. a deferral
b. non-sufficient funds
c. collateral damage
d. a default

21. The residual value of a vehicle is _____.
a. the original cost less the down payment
b. the original cost less the interest paid on the vehicle loan
c. the depreciated value of the vehicle
d. the lease price of the vehicle
22. What is the formula for calculating annual straight-line depreciation?
a. $(\text{Trade in Value} - \text{Original cost}) / \text{Number of Years}$
b. $(\text{Original Cost} - \text{Trade in Value}) / \text{Number of Years}$
c. $(\text{Trade in Value} - \text{Original cost}) / \text{Trade in Value}$
d. $(\text{Original Cost} - \text{Trade in Value}) / \text{Original Cost}$
23. The amount of money that a bond issuer agrees to pay the bondholder on maturity date is called the _____.
a. market value
b. discounted value
c. face value
d. net asset value
24. Mutual funds are traded based on their _____.
a. par value
b. market value
c. net asset value
d. face value
25. Withdrawing funds from a traditional IRA before the age of 59 ½ results in a _____.
a. 10% penalty calculated against the distribution amount
b. 10% penalty calculated against the total IRA balance
c. 20% penalty calculated against the distribution amount
d. 20% penalty calculated against the total IRA balance

Short Answer: (10 @ 2 point each = 20 points)

1. The weekly pay of four employees average \$433 per employee. The weekly pay amounts of 3 of the 4 employees are \$400, \$410, and \$460. What is the weekly pay of the fourth employee?

2. On January 1st you have a savings account that pays an annual percentage rate of 2%, compounded quarterly. If you make no other deposits or withdrawals, what is the balance on April 1? What is the balance on July 1? The balance on January 1st is \$800. (interest is calculated on these dates)

a. April 1: _____

b. July 1: _____

3. You invest in a \$5,000 CD that pays 5.2% annual interest. When you cash out at the end of 3 years, your early withdrawal penalty was 6 months' simple interest. What was the amount of the penalty?

4. You are 22 years old and would like to invest \$2,000 into a U.S. Treasury note earning 7.5% interest. How many times will your investment double before you withdraw it at age 70?

a. Years to Double: _____ (round to 1 decimal)

b. Times it will Double: _____

5. A new iPhone has a cash price of \$900. To buy it on an installment plan, you pay \$200 down and \$30 a month for 36 months. What is the finance charge? By what percent is the installment price greater than the cash price?

a. Finance Charge: _____

b. Percent Greater: _____

6. A home is selling for \$74,000. A down payment of 20% is required to purchase the home. The closing costs are as follows and are also required in addition to the down payment to purchase the home:

Legal Fees	\$950	Inspection	\$175
Title Insurance	\$140	Loan Processing Fee	\$84
Property Survey	\$250	Recording Fee	\$740

What is the amount of the down payment and what is the amount of cash needed on closing day?

a. Down Payment: _____

b. Cash Required: _____

Production Section:

Job 1: Net Worth Statement (2 points each gray shaded box --38 points)

Prepare a net worth statement for Emily Edwards on January 1st of the current year. Emily has a loan from her parents for \$200, a checking account with a \$300 balance and a savings accounts with a \$900 balance. She has a car valued at 3,000 but owes the bank \$1,500 for it. She has other personal property valued at \$4,000.

NET WORTH STATEMENT			
1.			
2.			
Assets		Liabilities	
3.	8.	13.	16.
4.	9.	14.	17.
5.	10.	15.	18.
6.	11.	Net Worth	
7.	12.	19.	

Job 2: Credit Card Finance Charges (2 points each blank--24 points)

Complete the table calculating the monthly or daily periodic rate and then finance charge based on the periodic rate calculated. Round decimals for periodic rate to 4 decimals.

	Balance Subject to Finance Charge	APR	Period	Periodic Rate	#of Periods	Finance Charge
1.	\$213.57	15%	Monthly		1 Month	
2.	\$89.22	18%	Daily		30 days	
3.	\$866.73	12%	Monthly		1 Month	
4.	\$2,479.01	21%	Daily		31 Days	
5.	\$500.00	9%	Monthly		1 Month	
6.	\$8,233.86	10%	Daily		30 Days	